CONSIGNMENT

UNSOLD STOCK VALUE

stock carries its share of cost!

Financial Accounting-2

IN SIMPLE WORDS *Unsold goods with the consignee are valued at their cost plus their share of the expenses spent to bring them to the godown.*

(1) CONSIGNMENT STOCK

Goods sent to the consignee but not sold by the end of the period. They still belong to the consignor and are shown in his books.

Ownership stays with consignor

(2) NON-RECURRING EXPENSES

One-time costs up to the godown: freight, insurance, loading, octroi, unloading. They are added to the value of stock.

Godown rent and selling cost are not added

(1) Value unsold stock at cost (or loaded invoice value) plus its proportionate non-recurring expenses.

(2) Add all non-recurring expenses up to the godown for the whole consignment, whoever paid them: consignor or consignee.

(3) Recurring expenses (godown rent, salary, selling expenses) are never added to stock.

(4) If goods were sent at invoice price above cost, take stock at invoice value plus expenses, then remove the loading through Stock Reserve.



Swipe for the formula →

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Stock Value and Entries

take the unsold share, U over Q

Valuation of Unsold Stock on Consignment

Value of unsold stock

$$\text{CLOSING STOCK} = \frac{U \times (C + E)}{Q}$$

U = units unsold, Q = units sent, C = cost (or loaded invoice value) of goods sent, E = non-recurring expenses up to godown

Closing stock at year end

Consignment Stock A/c ..... Dr

To Consignment A/c

(Being unsold stock at cost (or loaded invoice value) plus proportionate expenses)

Goods sent at loaded price

Consignment A/c ..... Dr

To Stock Reserve A/c

(Being loading on unsold stock removed by reserve)

WHOLE EXPENSES, UNSOLD SHARE! First total all non-recurring expenses for the whole consignment, then take only the U/Q portion into stock.

Swipe for a memory trick ⟶

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STUDY TRICK

Valuation of Unsold Stock on Consignment

picture the godown door

TILL THE DOOR, NOT THE FLOOR

Expenses up to the godown door go into stock. Expenses after the door, on the godown floor (rent, selling), go to the Consignment A/c as expenses.

HOW TO ATTEMPT IT

1 Find Q, U and the unsold ratio U/Q →

2 List non-recurring expenses to godown → 3 Add them to cost or invoice value

→ 4 Multiply the total by U/Q → 5 Pass stock entry; reserve if loaded

EXAM TIP

Check whether goods were sent at cost or invoice price. If at invoice price, create Stock Reserve on the loading in unsold stock.

DOUBT BUSTER

Should consignee's unloading expenses go into stock? Yes, if they are non-recurring and incurred up to the godown. Octroi and unloading paid by the consignee are added, the same as the consignor's freight.

Swipe for common mistakes →

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COMMON MISTAKES

Valuation of Unsold Stock on Consignment

small slips, big marks lost

✗ Adding expenses only for the unsold units, or leaving out the consignee's unloading and octroi

✓ Add all non-recurring expenses up to the godown for the whole consignment, whoever paid them, then take unsold proportion U/Q.

✗ Adding godown rent or selling expenses to the value of closing stock

✓ Only non-recurring expenses up to the godown go into stock. Recurring expenses are charged to Consignment A/c.

✗ Valuing unsold stock at invoice price and stopping there

✓ Take loaded invoice value plus expenses, then create Stock Reserve for the loading on unsold goods.

✗ Showing consignment stock in the consignee's books

✓ Unsold stock belongs to the consignor and is valued in his books. The consignee only reports it as goods held.

TOMORROW'S CMA CAT MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

RAHUL KP
@cacmagyan

